Circle Internet Group (CRCL): What the Price Implies for USDC Growth

A stochastic DCF with Vasicek interest rates and GBM USDC supply

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Key data	
Share price (close, 16 Oct 2026)	$82.22
Diluted shares / market value	274.3 mn / $22.6 bn
USDC in circulation (17 Oct 2026)	$72.7 bn
Cost of equity (no debt, so = WACC)	10.41%
Value per share, base case: mean / median	$214 / $151
Base case: 90% range / paths below price	$29-616 / 26%
USDC growth implied by the price (Fed rates)	24.0% a year to 2030
Implied return: base case / no USDC growth	17.7% / 4.7% a year

Summary

- **The price implies USDC growth of about 24% a year, not 40%.** At the Fed's projected rate path, $82.22 is consistent with USDC growing 24% a year to 2030, roughly 60% of Circle's through-cycle target of 40%.
- **If the target were met, the model values the share at $214 on average** (median $151): the price embeds a partial recovery of USDC growth, not management's plan.
- **Thin unit economics.** Partners such as Coinbase receive 61.5% of reserve income; after operating costs Circle keeps about 0.18% of USDC a year.
- **Two drivers dominate:** USDC growth ($13 per share with no growth to 2030, $214 at 40%, $484 at 56%) and cost scale (without it, the base case falls to $50).
- **Rate risk is partly offset:** a persistent rate cut costs 36% of value with a fixed discount rate, 7% if long yields fall too.

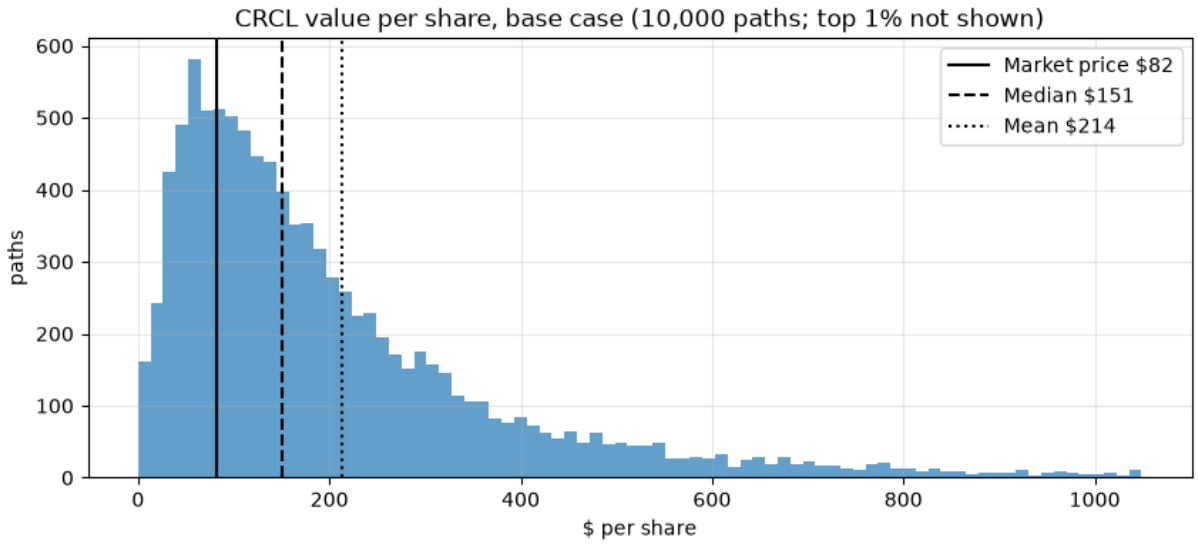


Figure 1. Value per share across 10,000 simulated paths, base case (Fed rate path, USDC growth of 40% a year to 2030). The top 1% of paths is not shown.

Question and approach. Circle earns interest on the reserves backing USDC, so its value depends on two uncertain variables: interest rates and the amount of USDC in circulation. The model simulates 10,000 correlated paths of both, turns each path into ten years of free cash flow and discounts it, and then reverses the problem: it finds the rate and growth assumptions under which the model value equals the market price. All data are cut at 17 October 2026.

1. How Circle makes money

When a user buys USDC, Circle holds the dollar in reserves (short-dated Treasuries, repo and cash) and keeps the interest; USDC holders receive none. Over the five quarters since the June 2025 IPO, reported reserve income equals average USDC times the reported reserve return within 0.06 pp, so revenue is essentially *USDC x short-term rate*, and the reserve return tracks the 3-month T-bill (average gap -0.02 pp). Most of that income is passed on: distribution and transaction costs, mainly payments to Coinbase under an agreement that press reports say renewed in August 2026 through 2029, absorb 61-64% of reserve income. What is left (RLDC) must then cover about $1 bn a year of operating expenses.

Quarter	Avg USDC ($bn)	Reserve return	Reserve income ($mn)	Partner share	RLDC ($mn)	Opex ($mn)	Operating income ($mn)	Operating yield
2025Q2	61.0	4.1%	634	64.1%	251	577*	-326*	-2.14%*
2025Q3	67.8	4.2%	711	62.9%	292	211	81	0.48%
2025Q4	76.2	3.8%	733	62.8%	309	254	55	0.29%
2026Q1	75.2	3.5%	653	62.1%	287	242	45	0.24%
2026Q2	76.5	3.5%	668	61.5%	289	254	34	0.18%

Source: Circle 8-K earnings releases (SEC). Operating yield = annualised operating income / average USDC. *2025Q2 includes about $424 mn of one-off stock compensation from the IPO.

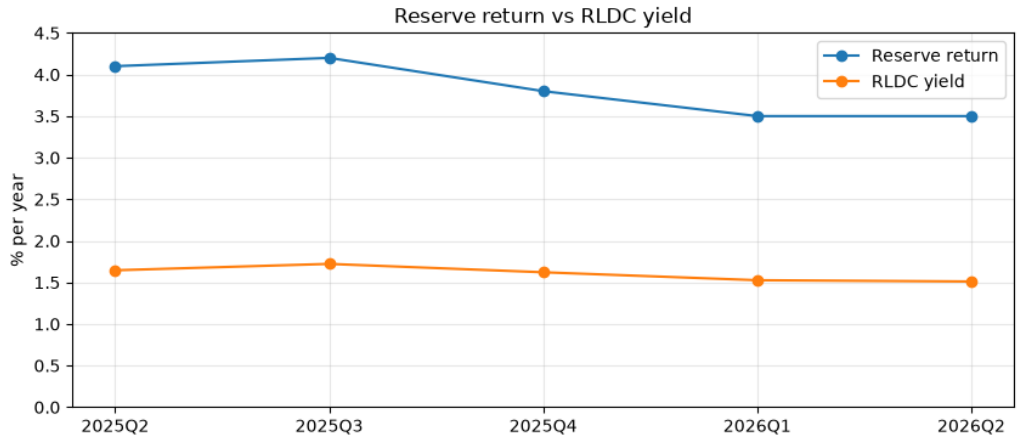


Figure 2. Reserve return vs RLDC yield (annualised RLDC per dollar of average USDC).

What the table shows. From 2025Q3 to 2026Q2 the reserve return fell from 4.2% to 3.5% while RLDC stayed between $287 mn and $309 mn per quarter, because partners absorb most of the fall: if reserve income drops by $100 mn, Circle's RLDC drops by about $38 mn. But operating expenses rose about 20% over the same period, so operating income fell from $81 mn to $34 mn and the operating yield from 0.48% to 0.18% of USDC. Circle's profit is a small difference between two large numbers (an RLDC yield of 1.51% against an opex yield of 1.33%), which makes the valuation very sensitive to costs.

Growth has stalled. USDC grew strongly to the end of 2025 but has moved between $70 bn and $80 bn in 2026 ($72.7 bn on 17 October). Standard Chartered, whose $2 tn stablecoin forecast moved from 2028 to 2030 as total supply stalled at $300-320 bn, attributes the pause to weak crypto-market activity and calls it cyclical rather than structural. Circle's own guidance for 2026 other revenue includes ARC token presale revenue, which looks non-recurring and is excluded from the projected cash flows.

2. Model

Short rate (Vasicek). $dr = \kappa(\theta - r)dt + \sigma_r\, dW_1$, simulated with its exact discrete solution. An AR(1) regression on month-end 3-month T-bill rates (2000-2026) gives $\theta = 1.44\%$, a value below every rate regime in the sample because it averages a third of near-zero years with 4-5% years; it is kept as a stress case. The base case anchors θ on the Fed's longer-run median (3.2%, September 2026 projections) and fits $\kappa = 0.15$ to the Fed's median path for 2026-2029 (within 0.17 pp); $\sigma_r = 0.72$ pp comes from history.

USDC supply (GBM with time-varying drift). $dS = \mu(t)S\,dt + \sigma_S\, S\, dW_2$. By Itô's lemma, $S_t = S_0 \exp(\int \mu\, ds - \sigma_S^2 t/2 + \sigma_S W_t)$, which gives an exact simulation step. Growth to 2030 follows three anchored scenarios, then fades linearly to 4% a year (Fed long-run real GDP plus inflation) by year 10: bear 0% (USDC flat over the last 12 months), base 40% (Circle's target) and bull 56% (Standard Chartered's $2 tn market with USDC keeping its 23.5% share). $\sigma_S = 26.6\%$ from month-end returns since 2022; daily data understate it because USDC flows are persistent.

Correlation. Monthly rate changes and USDC log returns have $\rho = -0.27$ ($p = 0.046$, 57 months): higher rates coincide with lower USDC, as in 2022. The two Brownian shocks are correlated by a Cholesky decomposition, $W_2 = \rho W_1 + \sqrt{(1 - \rho^2)}\, W_3$.

Cash flows and discounting. On each of 10,000 monthly paths over ten years: reserve income = USDC × max(r, 0); partners take 61.5%; other revenue is 0.20% of USDC; opex is the 2026Q2 run rate ($1,018 mn) scaled by $(\text{USDC} / \$76.5\text{ bn})^{0.5}$; tax is 25.63% (Damodaran US marginal rate); FCFF = EBIT − tax, with capex equal to D&A. Circle has no debt, so the discount rate is the CAPM cost of equity: 5.09% (10-year Treasury) + 1.27 × 4.20% (Damodaran implied ERP) ≈ 10.41% (with the unrounded beta). The regression beta of 2.07 has a standard error of 0.87 after only 16 months of trading, so it is shrunk toward 1.0 with the Vasicek (1973) adjustment. A Gordon terminal value grows at 4%; corporate cash and investments ($1.83 bn) are added and the result is divided by 274.3 mn diluted shares.

Parameter	Base	Source
Long-run rate θ / speed κ / volatility σ_r	3.2% / 0.15 / 0.72 pp	Fed SEP Sep 2026; fit to Fed path; T-bill 2000-2026
Stress long-run rate θ / κ	1.44% / 0.11	AR(1) on month-end T-bill, 2000-2026
USDC growth to 2030: bear / base / bull	0% / 40% / 56% a year	Last 12 months; Circle target; Standard Chartered
USDC volatility σ_S / correlation ρ	26.6% / −0.27	DefiLlama month-end, since 2022
Partner share / other revenue	61.5% / 0.20% of USDC	Circle 2026Q2 and H1 2026 (8-K)
Opex base / elasticity to USDC	$1,018 mn / 0.5	Circle 2026Q2; 2024Q3-2025Q3 elasticity 0.46
Risk-free / beta / ERP / cost of equity	5.09% / 1.27 / 4.20% / 10.41%	FRED DGS10; CRCL vs S&P 500; Damodaran
Tax rate / terminal growth	25.63% / 4%	Damodaran Jan 2026; Fed long-run projections

Validation. The simulation reproduces the closed-form mean and variance of both processes at 1, 5 and 10 years (all $|z| < 3$), the simulated shock correlation (−0.264) matches ρ, and Monte Carlo zero-coupon bond prices match the Vasicek bond formula at 1, 5 and 10 years ($96.06, $82.67 and $69.62-69.63 per $100). The Monte Carlo standard error of the mean value per share is $2.14, and five other seeds give means between $207 and $216. A single-path DCF on the expected paths gives $224, about 5% above the Monte Carlo mean: with negative correlation, average USDC × rate is below the product of the averages.

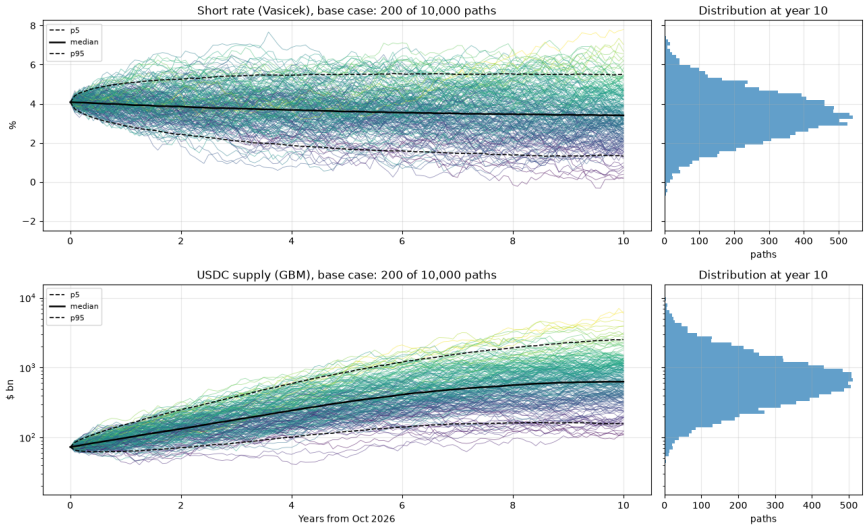


Figure 3. 200 of 10,000 simulated paths of the short rate and USDC supply, base case, with the 5th, 50th and 95th percentiles (lines) and the distribution at year 10 (right). USDC is on a log scale.

3. What the price implies

Base case. With rates following the Fed's path and USDC growing 40% a year to 2030, the mean value is $214 per share and the median $151 (Figure 1). Value is concentrated in the long run: the terminal value is 72% of firm value. The distribution is wide (90% of paths between $29 and $616) and right-skewed, so the median, not the mean, is the typical outcome.

Reverse DCF. Instead of asking what the share is worth, the model asks which combinations of long-run rate and USDC growth make its value equal to the $82.22 price (Brent root finding on the full Monte Carlo model; Figure 4). Because Circle earns interest on its reserves, higher rates raise its value; to stay consistent with a fixed price, faster USDC growth must therefore be paired with lower rates, and slower growth with higher rates. The curve is the set of combinations the price can support, not a forecast that low rates bring growth. The natural reading fixes the rate at the Fed's projected long-run 3.2%: the price then implies **USDC growth of 24.0% a year to 2030**, about $179 bn of USDC in 2030 (33.8% at the 1.44% stress rate). Circle's 40% target would match the price only if the long-run rate fell to 0.63%, close to the zero-rate regime of 2009-2015 and well below the Fed's projections; with no USDC growth, even a 12% rate would not reach the price.

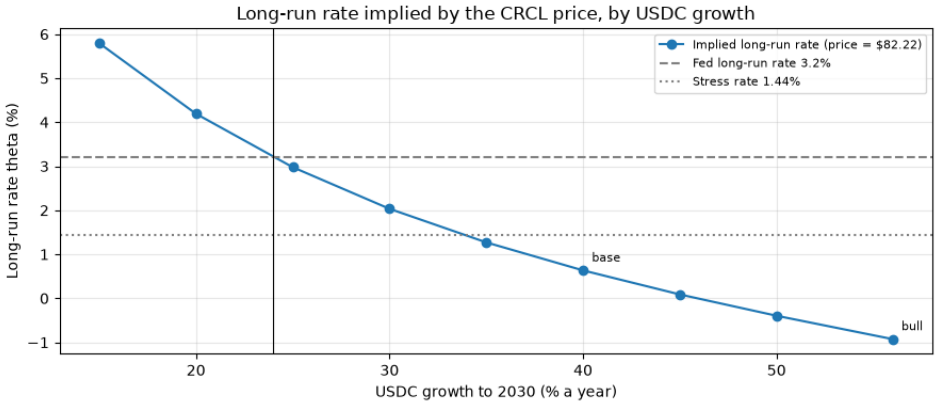


Figure 4. Long-run rate at which the model value equals the market price, by assumed USDC growth to 2030. The vertical line marks the growth implied at the Fed rate.

Reference (USDC growth, % a year)	Value
Observed: last 12 months	2.8%
Implied by the price, Fed rate 3.2%	24.0%
Implied by the price, stress rate 1.44%	33.8%
Observed: since January 2025	38.2%
Circle's through-cycle target	40.0%
Observed: since the November 2023 trough	52.6%
Standard Chartered $2 tn market, constant USDC share	56.0%

Implied return at $82.22	Return	vs 10.41%
Bear (no USDC growth to 2030)	4.7%	−5.7 pp
Base (40% a year)	17.7%	+7.2 pp
Bull (56% a year)	26.5%	+16.1 pp

Reading. The implied 24% sits between the stall of the last year and Circle's target, and well below the pace since the 2023 trough: the market neither extrapolates the stall nor accepts management's plan. If Standard Chartered's market forecast holds, 24% growth would also mean USDC losing share. The share is an asymmetric bet: bought at $82.22 it returns about 17.7% a year if the base case materialises, and less than Treasuries (5.09%) if USDC stays flat. The bear figure is approximate, because at discount rates this close to the 4% terminal growth the terminal value is very sensitive.

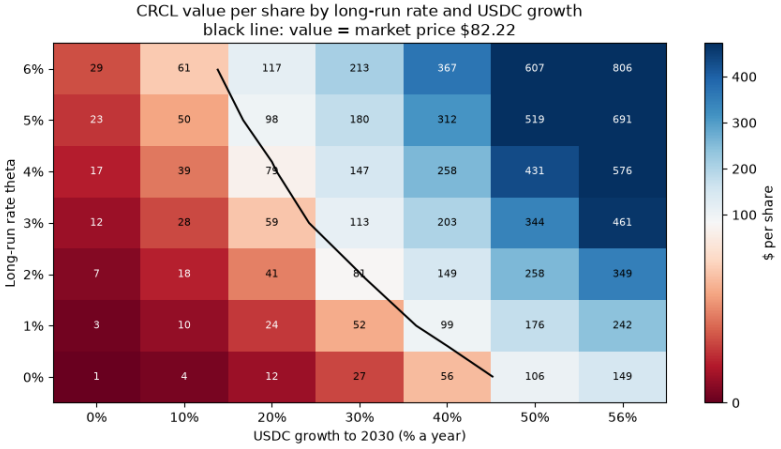


Figure 5. Mean value per share ($) by long-run rate and USDC growth to 2030; the black line marks the market price.

4. Sensitivity, risks and limitations

Rates	USDC growth to 2030	Mean	Median	Below price
Base (θ 3.2%)	Bear (0%)	$13	$8	99.1%
Base (θ 3.2%)	Base (40%)	$214	$151	26%
Base (θ 3.2%)	Bull (56%)	$484	$347	6%
Stress (θ 1.44%)	Bear (0%)	$6	$1	99.8%
Stress (θ 1.44%)	Base (40%)	$138	$91	46%
Stress (θ 1.44%)	Bull (56%)	$324	$221	19%

Rate-cut scenario (base USDC growth)	Mean	Change
Base: Fed path, discount rate 10.41%	$214	
Immediate 1 pp cut, fading	$191	−11%
Persistent cut to 1.44%, discount fixed	$138	−36%
Persistent cut, discount 1.76 pp lower	$199	−7%

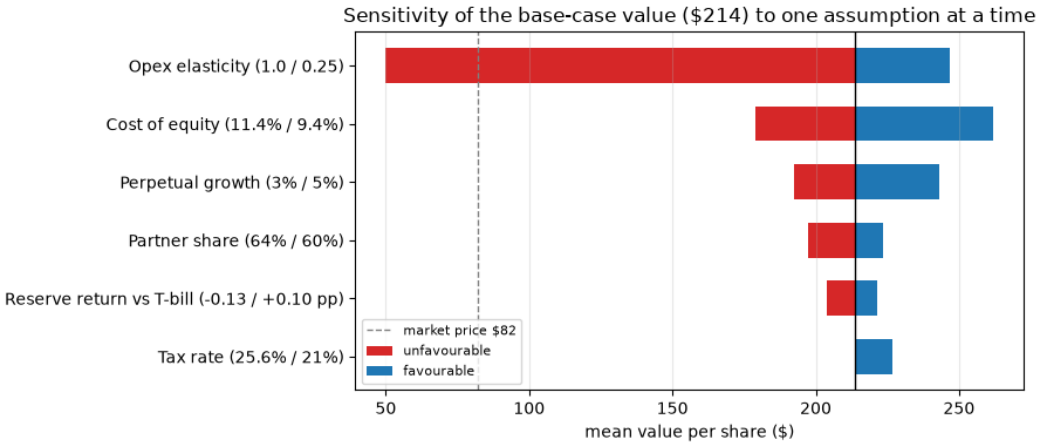


Figure 6. Base-case mean value when one assumption at a time moves to an unfavourable (red) or favourable (blue) value.

Main risks. (1) **USDC growth** decides the result: the value is $13 per share if USDC stays flat to 2030 and $484 in the bull case. (2) **Cost scale** is the second driver: if opex grows in proportion to USDC, the base case falls to $50, below the price, and over the last year Circle's costs grew faster than USDC (year-on-year elasticities of 1.26 and 1.51). (3) **Rates:** a persistent cut costs 36% with a fixed discount rate but only 7% if long yields fall too; a steeper curve would leave the larger loss. (4) **The Coinbase agreement** fixes the partner share only to 2029; each point of partner share is worth about $6.5 per share in the base case.

Limitations. The GBM assumes independent shocks while USDC flows are persistent (monthly autocorrelation 0.64); regimes are handled through scenarios. Growth scenarios rest on Circle's target and an already-postponed bank forecast, not on estimates. The opex elasticity of 0.5 comes from a single comparable period. The beta rests on 16 months of trading (R^2 8%). The discount rate is fixed while rates are stochastic. Circle has five quarters of public results, all in a period of mostly falling rates. Corporate cash includes ARC presale proceeds that may have to be repaid, and regulatory capital needs are not disclosed. There is no peer-multiple cross-check, as no other stablecoin issuer is listed.

Sources. Circle 8-K earnings releases and 10-Q (SEC); FRED (DTB3, DGS10); DefiLlama (USDC supply); Yahoo Finance (CRCL, S&P 500); FOMC Summary of Economic Projections, September 2026; Damodaran (implied ERP, 1 October 2026; US marginal tax rate, January 2026); Standard Chartered stablecoin report, 14 October 2026; Vasicek (1973), "A note on using cross-sectional information in Bayesian estimation of security betas", Journal of Finance. Full code, data and references: github.com/ChristopheAbelem/circle-valuation.